

Amazon.com Inc AMZN (XNAS)

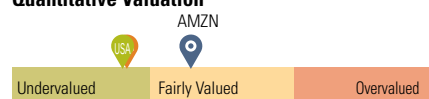
Morningstar Rating	Last Price	Fair Value Estimate
★★★	1,689.12 USD	1900.00 USD
11 Jun 2018 21:35, UTC	11 Jun 2018	27 Apr 2018 20:35, UTC

Price/Fair Value	Trailing Dividend Yield %	Forward Dividend Yield %	Market Cap (Bil)	Industry	Stewardship
0.89	—	0.00	819.61	Specialty Retail	Exemplary
	11 Jun 2018	11 Jun 2018	11 Jun 2018		

Morningstar Pillars	Analyst	Quantitative
Economic Moat	Wide	Wide
Valuation	★★★	Fairly Valued
Uncertainty	High	High
Financial Health	—	Strong

Source: Morningstar Equity Research

Quantitative Valuation



	Current	5-Yr Avg	Sector	Country
Price/Quant Fair Value	1.02	0.97	0.91	0.90
Price/Earnings	212.7	490.2	18.7	21.3
Forward P/E	133.3	—	14.6	15.5
Price/Cash Flow	45.8	28.5	11.2	14.1
Price/Free Cash Flow	156.1	160.7	19.3	21.2
Trailing Dividend Yield%	—	—	2.14	2.12

Source: Morningstar

Bulls Say

- ▶ Amazon dominates North American online retail with estimated GMV of more than \$200 billion in the region during 2017.
- ▶ With more than half of the world's Internet users coming from developing markets, Amazon has significant international growth opportunities in regions like Europe, Japan, and Southeast Asia.
- ▶ Amazon's device portfolio, including Kindle, Fire TV, Dash, Echo, and other Alexa-enabled products, represents intriguing customer acquisition and retention tools that capitalize while promoting Prime membership engagement and AWS' various capabilities.

Bears Say

- ▶ Amazon's margin expansion trajectory is likely to be uneven at times, given its global logistics and content investments, new sources of competition, and physical store and healthcare initiatives.
- ▶ International expansion brings unique challenges such as local e-commerce regulations, infrastructure investments, and incumbent competition in several markets.
- ▶ Some Amazon Web Services offerings face competition from well-capitalized peers like Microsoft and Google, possibly exposing it to more aggressive price competition and longer-term margin pressures.

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Amazon is capitalizing on new sources of cash flow beyond AWS, Prime, and third-party sales.

Investment Thesis

R.J. Hottovy, CFA, Analyst, 27 April 2018

Amazon is the most disruptive force to emerge in retail in several decades. Its operational efficiency, network effect, and a brand intangible asset built on customer service provide it with sustainable competitive advantages that few, if any, traditional retailers can match. As an increasingly vital distribution channel for consumer product vendors, Amazon commands favorable pricing terms to traditional rivals, which will help drive recurring site traffic. Even with more retailers looking to expand online, we believe Amazon will maintain its consumer proposition through the convenience of Amazon Prime's expedited shipping, expanding digital content library, and new partnerships coming out of its Whole Foods acquisition. Aided by almost 400 million estimated global active users, more than 100 million Prime members, and recent fulfillment infrastructure, technology, and content investments, Amazon owns one of the wider economic moats in the consumer sector and is likely to reshape retail, digital media, enterprise software and other categories for years to come.

Key top-line metrics—including active users (a 14% compound annual growth rate the past five years), total physical and digital units sold (25% CAGR), and third-party units sold (31% CAGR)—continue to outpace global e-commerce trends, suggesting that Amazon is gaining share while fortifying its network effect. On top of its impressive growth, Amazon is building a nascent margin expansion story. Amazon's margins are going to be less predictable than its growth trajectory, given the potential for new fulfillment infrastructure investments and content deals, AmazonFresh, hardware such as the Echo/Alexa-enabled products, new delivery capacity and technologies, and physical store expansion. Some of the company's capital decisions haven't always yielded strong returns. However, we're optimistic that Amazon can push 7% operating margins by 2022 based on Prime and Prime Fresh adoption and new pricing tiers, new subscription services, segment margins for Amazon Web Services around 30%, fulfillment center scale, new third-party seller services, advertising services, and Alexa technology licensing arrangements.

Analyst Note

R.J. Hottovy, CFA, Analyst, 27 April 2018

Amazon's top- and bottom-line outperformance was the clear story of its first-quarter update. However, we believe the more important takeaway for investors is that the drivers are built to last while simultaneously enhancing the sources behind our wide moat rating.

Amazon's core retail profit functions—which we consider to be third-party seller services and retail subscriptions--accelerated to 44% and 60% growth, respectively. While both line items saw modest benefit from revenue recognition accounting changes, they contributed to the 260-basis-point increase in gross margins to 39.8% and 90 basis points of improvement in North America segment margins to 3.7%. With CEO Jeff Bezos' recent shareholder letter highlighting the strong growth in small/medium businesses sellers (including 300,000 new sellers last year) and the announcement that U.S. Prime membership base prices will increase to \$119 from \$99 beginning in May, we believe both of these revenue streams will remain healthy in the years to come.

Outside of the core drivers, we're seeing strong contribution from emergent drivers such as advertising (which helped other revenue grow an impressive 72% year over year after adjusting for accounting changes and was called out as a key margin driver), subscription services like Amazon Music and Kindle Unlimited, and international retail (up 21% excluding foreign currency) where we're seeing a ramp in Prime memberships comparable to the U.S. between 2010-15. On top of the retail contributors, AWS posted accelerating revenue growth (49%) and margin gains (up 140 basis points to 25.7%), indicating that the business unit is managing competition from Google and Microsoft Azure.

We're tentatively planning to raise our fair value estimate to \$1,900 from \$1,600, with the bulk of the increase coming from more optimistic near-term revenue assumptions stemming from the various drivers. Even after the post first-quarter rally, we view shares as modestly undervalued.

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Close Competitors	Currency (Mil)	Market Cap	TTM Sales	Operating Margin	TTM/PE
Walmart Inc WMT	USD	248,756	505,491	4.03	28.09
JD.com Inc JD	USD	56,554	58,578	-0.17	0.00
eBay Inc EBAY	USD	40,246	9,844	23.33	0.00

Economic Moat

R.J. Hottovy, Analyst, 12 June 2018

The traditional brick-and-mortar retail industry is undergoing a rapid transformation, particularly in commoditized categories. With nonexistent customer switching costs and intense competition, we've already seen Circuit City, Linens 'n Things, Borders, and RadioShack exit the retail landscape, while names like Barnes & Noble, Sears, office superstores, and a host of other retailers struggle to reverse deteriorating fundamentals. Market consolidation among mass merchants like Walmart and Costco has played a role in this trend, as have direct-to-consumer investments by key original-equipment manufacturers like Apple and Samsung. However, we view Amazon as the most disruptive force to emerge in retail in several decades. Its operational efficiency, network effect, and laser focus on customer service provide it with sustainable competitive advantages that traditional retailers cannot match; this should yield additional market share gains in the years to come. Despite ongoing fulfillment, technology (hardware devices and AWS), and content investments, we expect Amazon can generate economic returns ahead of our cost of capital assumption over an extended horizon, supporting our wide moat rating.

One of Amazon's key advantages is its operational efficiency of its fulfillment and distribution network, which satisfies consumers' increasing demand for free and expedited shipping. This allows Amazon to generate strong cash flow, which in turn can be reinvested in advertising, customer service, and website enhancements that keep its marketplace robust and customer loyalty strong. In fact, we believe Amazon's brand has come to represent low prices, a wide selection, convenience, and superior customer service—a rare combination among retailers.

Amazon also benefits from a network effect, as low prices, an expansive breadth of products, and a user-friendly interface attract millions of customers, which in return attract merchants of all kinds to Amazon.com, including

third-party sellers on Amazon's Marketplace platform (which represented more than 50% of total units sold in 2017) and wholesalers/manufacturers selling directly to Amazon. According to our research, the percentage of traffic to Amazon derived from search has fallen in recent years at a time when other online retailers have become more dependent on search. We think this indicates that Amazon is increasingly becoming the starting point for online purchases, akin to a mall anchor tenant. Additionally, customer reviews, product recommendations, and wish lists increase in relevance as more consumers and products are added to the Amazon platform, enhancing its network effect.

Amazon's \$13.7 billion acquisition of Whole Foods in 2017 marks its most significant push into the grocery category, but likely left some investors scratching their heads after more than two decades of building an e-commerce empire without physical stores. While we had expected the company to further test its other grocery concepts before going all in with physical stores, we do see several reasons why this acquisition is more than just a push into the grocery category and can enhance Amazon's wide moat. First, there is already a high degree of overlap between Amazon Prime members and Whole Foods shoppers, with opportunities to migrate Prime members to the Fresh member tier (which presently runs \$14.99 per month in addition to annual Prime membership fees, though we suspect changes to Fresh are imminent following the acquisition). Second, Amazon adds instant credibility in fresh produce and proteins through Whole Food's supplier base, something that had been slow to materialize with Amazon's grocery efforts to this point. On top of becoming a reputable player in fresh food, we expect that many of Whole Foods suppliers will explore Amazon as a potential distribution channel, at least those not already using Amazon's marketplaces. Third, Amazon has a new vehicle to meaningfully expand and accelerate its private-label offerings, including its own packaged food and household product private labels such as Happy Belly, Bloom Street, Mama Bear, and Wickedly Prime as well as the opportunity to sell Whole Foods' 365 label to existing Prime customers. Finally, Whole Food's physical locations offer an opportunity to better showcase new Amazon products and technologies.

We like Amazon's ability to compete in digital media, given its sizable customer base, the symbiotic hardware/software ecosystem of its Kindle, Fire TV, Dash, and Echo products,

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as well as intriguing licensing possibilities with Amazon's Echo and other Alexa-enabled voice-recognition products. We still view the Kindle suite of products as customer-acquisition tools that add multiple layers of upside to our base-case assumptions, including additional Prime memberships and engagement levels, accelerating digital media sales, and a positive halo effect on general merchandise sales. We believe Amazon will continue to develop into a formidable player in digital media, given its vast content offerings, inroads into new verticals (including video games), and ability to sell hardware as a loss leader.

We believe Amazon Web Services has similarly developed cost advantage, intangible asset, and network effect moat sources. Amazon's public cloud computing offerings possess more than 4 times the computing capacity in use than the next 14 largest providers combined (according to Gartner statistics), providing the company with scale advantages and often making it the preferred name for corporations looking to reduce information technology expenditures. AWS generated \$17.5 billion in revenue during 2017, and we forecast average annual revenue growth of almost 30% over the next five years. With recent investments for additional capacity and other innovations, we expect AWS to become an increasingly positive gross margin contributor--the segment posted 24.8% segment operating income in 2017, and we believe this segment can deliver 30% margins over a longer horizon--because of its highly scalable nature and other mission-critical services outside of cloud storage, including a network of third-party software providers selling on AWS Marketplace.

Valuation

R.J. Hottovy, Analyst, 27 April 2018

We're raising our fair value to \$1,900 per share from \$1,600, with the bulk of the increase coming from more optimistic near-term revenue assumptions stemming from emergent sources of growth such as advertising, subscription services like Amazon Music and Kindle Unlimited, international retail, and Alexa (and the future licensing opportunities it presents). In Amazon's case, we do not believe traditional price/earnings and enterprise value/EBITDA metrics are meaningful, given the impact that technology, content, and infrastructure investments are expected to have on near-term margins. Still, we believe Amazon warrants a premium valuation based on

its wide economic moat, meaningful avenues for growth, and longer-term margin expansion potential.

Amazon's competitive position and compelling value proposition should lead to additional share gains in 2018, putting full-year revenue growth around 35% (which incorporates the contribution from the Whole Foods acquisition). Our model assumes average annual revenue growth of around 23% for the five years ending 2022 due to contribution from Whole Foods, greater engagement among Amazon Prime members, and increased third-party sales from its suppliers, digital content sales, international expansion, and nascent growth channels like advertising and technology licensing. With respect to Amazon's sales mix, we forecast online retail to grow 13% annually the next five years, with smaller segments like physical stores, third-party seller services, subscription services, AWS, and advertising growing 9%, 26%, 38%, 33%, and 66% respectively, over the same period.

We forecast that gross margins will exceed 40% within the next few years, compared with 37.1% in 2017. Amazon's growing clout with suppliers and advertisers, the higher proportion of third-party units in the sales mix, and AWS' increased presence should allow for higher gross margins. We also forecast operating margin expansion through increasing expense leverage (particularly in the fulfillment, marketing, and general and administrative expense line items), greater contribution from AWS, accelerating third-party unit sales, and cost savings opportunities at Whole Foods. Our model calls for Amazon to approach almost 7% GAAP operating margins over the next five years based on the company's strong competitive positions in AWS and North American e-commerce, as well as early indications of success in certain international markets.

Risk

R.J. Hottovy, Analyst, 12 June 2018

Despite its leading position in a North American and European e-commerce industry with secular tailwinds, Amazon faces several possible risks. Impairment to Amazon's low-price positioning, whether real or perceived, could have an adverse impact on fundamentals. Amazon must maintain its value proposition and logistics efficiency to drive site traffic while competing with other merchants for market share. This includes managing the value proposition of Amazon Prime (including plans to raise the base membership fee to \$119 in May), though

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we believe the convenience of the platform's fulfillment capabilities, expanded digital content offerings, and new subscription offerings will continue to drive new Prime membership growth and keep attrition to a minimum. Other execution risks include exposure to volatile discretionary spending patterns and expansion into peripheral business lines and physical stores (including the integration of Whole Foods), which could distract management or lead to poor capital-allocation decisions. International growth brings unique regulatory challenges, as foreign governing bodies are constantly amending online commerce laws, often to the benefit of local players in the market.

On top of execution risk, we see three other sources of potential risk: (1) regulatory, including the treat of increased shipping fees from the U.S. Postal Service or other regulated carriers, higher taxes, or antitrust litigation; (2) direct and indirect competition from other retailers or technology firms; and (3) intangible asset impairment, including data breaches or concerns over inappropriate data usage or consumer fatigue. On the other hand, we see sources of upside risks from more diversified and specialized AWS offerings, expanded Fulfillment by Amazon capabilities, the rollout of AmazonFresh across additional urban centers, new potential pricing tiers or add-on features for Amazon Prime memberships, and expanding advertising to new channels.

Amazon has made several investments in developing a moatworthy business model, including an efficient fulfillment infrastructure in North America, a vast content portfolio, and Amazon Web Services capacity. However, charges tied to the Fire Phone in 2014 and operating losses internationally underscore the importance of Amazon being selective with its capital allocation decisions. We believe the lack of consumer interest in the Fire Phone was a wakeup call for management's future capital decisions, as the company runs the risk of losing key personnel without stronger returns on invested capital, owing to the equity component of many employees' compensation structure. However, we're comfortable with this risk, based on recent capital discipline and investments that have been more directly aligned with the core commerce and AWS platforms.

Management

R.J. Hottovy, Analyst, 27 April 2018

Chairman and CEO Jeff Bezos founded Amazon.com in 1994. We view Amazon's management team as Exemplary in terms of corporate stewardship. Bezos owns about 20% of the shares, takes no equity compensation or bonus pay, and collects a paltry salary. Although the board is small, it is elected every year, receives no cash compensation, avoids insider relationships, and hasn't implemented antitakeover provisions. The company also provides a fair amount of supplementary financial data in its financial reports. Our only complaint is that specific disclosures have not increased as the company has expanded into new areas, including digital downloads, the Kindle suite of products, and user/Prime membership data (though to its credit, management broke out AWS as a separate business unit in the first quarter of 2015 and disclosed that the company surpassed 100 million Prime memberships globally in 2017).

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Analyst Notes Archive

Partnership With Berkshire Hathaway and JPMorgan Offers Amazon Clearest Path to Healthcare Entry

R.J. Hottovy, Analyst, 30 January 2018

Though details are sparse, we view the Jan. 30 announcement that wide-moat Amazon, wide-moat Berkshire Hathaway, and narrow-moat JPMorgan Chase will form "an independent healthcare company that is free from profit-making incentives and constraints" as an intriguing partnership that opens up Amazon to a more serious push into other healthcare products and services. Instead of directly entering the market through an acquisition of or partnership with a pharmacy benefit manager, insurer, drugstore, or distributor--moves that are still on the table but would require federal and state licensing and other regulatory approvals--this development strikes us as closer to Amazon's typical playbook when entering a new category: acquiring as much data as possible before moving forward with the optimal path to disruption.

The announcement itself won't immediately affect our \$1,250 fair value estimate (which we plan to reassess after the company's fourth-quarter update Feb. 1) or our moat rating for Amazon, but there are layers of potential upside to our longer-term assumptions. With a pool of 1.2 million direct employees from the partnership firms potentially covered by the new company (541,900 at Amazon, 367,700 at Berkshire Hathaway, and 243,400 at JPMorgan Chase) and opportunities to initially expand through Amazon's third-party seller network and Berkshire and JPMorgan subsidiaries, Amazon would have access to new sources of consumer data with which to refine its healthcare platform while significantly improving its bargaining position with healthcare vendors. From there, we believe the new healthcare partnership company could develop into a solution for other corporations or customers of each company, though financial contribution from this partnership is likely years away at the earliest.

Amazon Caps Off Transformational 2017 With Several Emerging Cash Flow Drivers Starting to Take Shape

R.J. Hottovy, Analyst, 02 February 2018

Our key takeaway from wide-moat Amazon's

fourth-quarter update wasn't so much that the core building blocks of our longer-term cash flow assumptions are intact, but that new sources are also becoming contributors sooner than anticipated. The pillars that we've highlighted in the past all contributed to fourth-quarter results, including AWS (where revenue growth reaccelerated to 45% from 42% last quarter), Prime memberships (according to management, more new paid members joined Prime in 2017 than any previous year, both worldwide and in the U.S.), and third-party units (which grew 28% and represent 51% of total units). However, digging deeper, we believe that advertising (signified by the 62% increase in other revenue growth) and third-party seller services (which grew 41% and indicate strong Fulfillment by Amazon and other seller service adoption) were key contributors to the 140-basis-point jump in North American retail segment margins to 4.5%. Additionally, we believe Alexa technology (which continues to be integrated across a wide number of smart home and other technology-enabled devices) and new retail formats will join the list of monetization opportunities in the years to come.

We're planning to raise our fair value estimate from \$1,250 per share to \$1,600, with \$75 of the increase attributed to time value of money, \$100 due to a lower effective tax rate, and the remainder from more optimistic five-year revenue growth and margins estimates stemming from the aforementioned emergent cash flow drivers. Our model now assumes 21% average annual revenue growth from 2018 to 2022, including 26% growth from third-party seller services, 34% from retail subscription services, 38% from AWS, and 43% from other sources. While Amazon's growth will still require fulfillment, technology, and content investments, we see a path to 6% margins over the next five years (compared with 2.3% in 2017). Even after the post-fourth-quarter rally, we view shares as undervalued.

Amazon's Risk Profile Is Evolving but Company Still Well Positioned Over a Longer Horizon

R.J. Hottovy, Analyst, 06 April 2018

After an up-and-down week following criticisms from President Trump, investors in wide-moat Amazon likely find themselves with greater uncertainty about what, if any, regulatory restrictions the current administration could impose. Despite the headlines, we see increased regulatory oversight as a low-probability event over the near future and see little reason to change our \$1,600 fair

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value estimate. However, we also think our high uncertainty rating accounts for new potential regulatory risks, with continued pressure possibly creating a buying opportunity.

We've historically based our high uncertainty rating on four sources of potential risk: (1) regulatory; (2) execution; (3) competition; and (4) possible intangible asset impairment (more or less in that order). The first source has grabbed headlines the past two weeks, with Trump stating that Amazon is taking unfair advantage of the USPS and pays little or no taxes, and that the Department of Justice should look into potential antitrust cases. We think it is difficult to make an antitrust case, as Walmart generated \$500 billion in revenue during 2017 versus Amazon's \$178 billion in revenue (on estimated GMV of \$320 billion). Potential tax changes are more of an unknown and we could conceivably see new revenue- or user-based tax structures like recent EU proposals, though this would likely take time to put in place, given the implications for other marketplace business models. With respect to USPS shipping fees, we've always thought this could be a tangible risk to the Amazon investment story, though not one that would break its model. At this point, we'd say there is nominal risk of increased USPS fees, as any pricing changes could also lead to higher prices for consumers and increased costs for other merchants. Additionally, Amazon still has competitive countermeasures at its disposal, including fulfilling more products through its own logistics infrastructure or threatening to move more jobs overseas.

letter highlighting the strong growth in small/medium businesses sellers (including 300,000 new sellers last year) and the announcement that U.S. Prime membership base prices will increase to \$119 from \$99 beginning in May, we believe both of these revenue streams will remain healthy in the years to come.

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Built to Last: Amazon's Core and Emergent Business Lines Make for a Long-Term Cash Flow Story

R.J. Hottovy, Analyst, 27 April 2018

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Market Cap
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Sector
Consumer Cyclical

Industry
Specialty Retail

Country of Domicile
USA United States

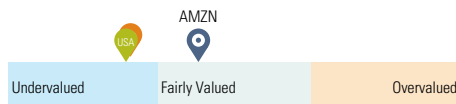
There is no one analyst in which a Quantitative Fair Value Estimate and Quantitative Star Rating are attributed to; however, Mr. Lee Davidson, Head of Quantitative Research for Morningstar, Inc., is responsible for overseeing the methodology that supports the quantitative fair value. As an employee of Morningstar, Inc., Mr. Davidson is guided by Morningstar, Inc.'s Code of Ethics and Personal Securities Trading Policy in carrying out his responsibilities. For information regarding Conflicts of Interests, visit <http://global.morningstar.com/equitydisclosures>

Company Profile

Amazon.com Inc is an online retailer. The Company sells its products through the website which provides services, such as advertising services and co-branded credit card agreements. It also offers electronic devices like Kindle e-readers and Fire tablets.

Quantitative Scores

		Scores		
		All	Rel Sector	Rel Country
Quantitative Moat	Wide	100	100	100
Valuation	Fairly Valued	27	26	28
Quantitative Uncertainty	High	94	93	91
Financial Health	Strong	82	70	82



Valuation

	Current	5-Yr Avg	Sector Median	Country Median
Price/Quant Fair Value	1.02	0.97	0.91	0.90
Price/Earnings	212.7	490.2	18.7	21.3
Forward P/E	133.3	—	14.6	15.5
Price/Cash Flow	45.8	28.5	11.2	14.1
Price/Free Cash Flow	156.1	160.7	19.3	21.2
Trailing Dividend Yield %	—	—	2.14	2.12
Price/Book	26.0	18.8	1.8	2.6
Price/Sales	4.3	2.5	1.0	2.4

Profitability

	Current	5-Yr Avg	Sector Median	Country Median
Return on Equity %	14.8	6.6	11.9	12.7
Return on Assets %	3.8	1.5	5.3	5.0
Revenue/Employee (K)	341.3	477.7	563.0	324.0

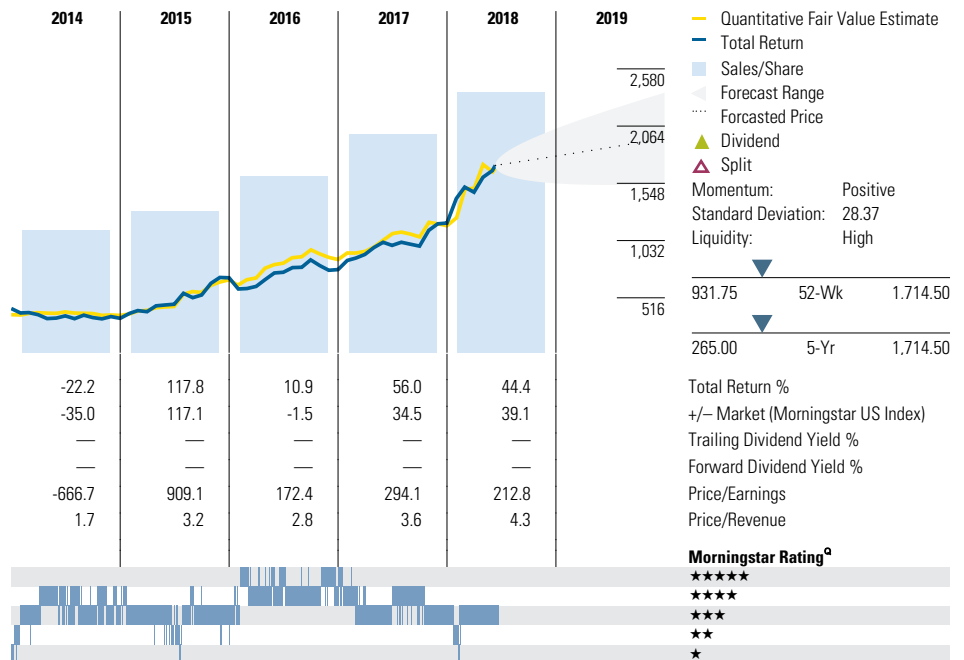
Financial Health

	Current	5-Yr Avg	Sector Median	Country Median
Distance to Default	0.7	0.8	0.6	0.5
Solvency Score	461.8	—	488.9	552.7
Assets/Equity	4.7	4.6	1.8	1.7
Long-Term Debt/Equity	0.9	0.6	0.2	0.4

Growth Per Share

	1-Year	3-Year	5-Year	10-Year
Revenue %	30.8	26.0	23.8	28.2
Operating Income %	-1.9	184.7	43.5	20.0
Earnings %	25.5	—	—	18.6
Dividends %	—	—	—	—
Book Value %	41.6	35.3	26.0	34.9
Stock Total Return %	72.7	57.4	43.8	36.1

Price vs. Quantitative Fair Value

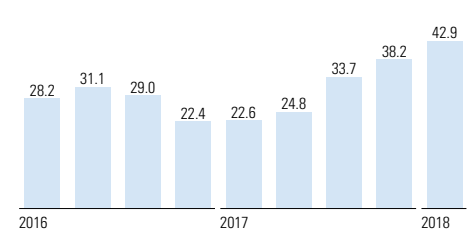


	2013	2014	2015	2016	2017	TTM	Financials (Fiscal Year in Mil)
Revenue	74,452	88,988	107,006	135,987	177,866	193,194	Revenue
% Change	21.9	19.5	20.2	27.1	30.8	8.6	% Change
Operating Income	745	178	2,233	4,186	4,106	5,028	Operating Income
% Change	10.2	-76.1	1,154.5	87.5	-1.9	22.5	% Change
Net Income	274	-241	596	2,371	3,033	3,938	Net Income
Operating Cash Flow	5,475	6,842	11,920	16,443	18,434	18,262	Operating Cash Flow
Capital Spending	-3,444	-4,893	-4,589	-6,737	-11,955	-12,905	Capital Spending
Free Cash Flow	2,031	1,949	7,331	9,706	6,479	5,357	Free Cash Flow
% Sales	2.7	2.2	6.9	7.1	3.6	2.8	% Sales
EPS	0.59	-0.52	1.25	4.90	6.15	7.94	EPS
% Change	—	-188.1	—	292.0	25.5	29.1	% Change
Free Cash Flow/Share	0.84	2.33	11.41	17.76	14.71	10.82	Free Cash Flow/Share
Dividends/Share	—	—	—	—	—	—	Dividends/Share
Book Value/Share	19.80	22.23	26.39	37.28	50.95	64.84	Book Value/Share
Shares Outstanding (K)	459,000	465,000	471,000	477,000	484,000	485,227	Shares Outstanding (K)
Profitability	3.1	-2.4	4.9	14.5	12.9	14.8	Profitability
Return on Equity %	0.8	-0.5	1.0	3.2	2.8	3.8	Return on Equity %
Return on Assets %	0.4	-0.3	0.6	1.7	1.7	2.0	Return on Assets %
Net Margin %	2.05	1.88	1.78	1.83	1.66	1.86	Net Margin %
Asset Turnover	4.1	5.1	4.9	4.3	4.7	4.0	Asset Turnover
Financial Leverage	15.7	17.4	20.5	22.1	22.9	23.1	Financial Leverage
Gross Margin %	1.0	0.2	2.1	3.1	2.3	2.6	Gross Margin %
Operating Margin %	3,191	8,265	8,235	7,694	24,743	24,640	Operating Margin %
Long-Term Debt	9,746	10,741	13,384	19,285	27,709	31,463	Long-Term Debt
Total Equity	8.3	6.4	5.5	5.3	4.6	4.5	Total Equity
Fixed Asset Turns	—	—	—	—	—	—	Fixed Asset Turns

Quarterly Revenue & EPS

	Mar	Jun	Sep	Dec	Total
Revenue (Bil)					
2018	51.0	—	—	—	—
2017	35.7	38.0	43.7	60.5	177.9
2016	29.1	30.4	32.7	43.7	136.0
2015	22.7	23.2	25.4	35.7	107.0
Earnings Per Share (I)					
2018	3.27	—	—	—	—
2017	1.48	0.40	0.52	3.76	6.15
2016	1.07	1.78	0.52	1.54	4.90
2015	-0.12	0.19	0.17	1.01	1.25

Revenue Growth Year On Year %



Research Methodology for Valuing Companies

Qualitative Equity Research Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, in-depth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss short-term market-price movements), but we believe these negatives are mitigated by deep analysis and our long-term approach.

Morningstar's equity research group ("we", "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk-adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate

and (4) the current market price. This process ultimately culminates in our single-point star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

To assess the sustainability of excess profits, analysts perform ongoing assessments of the moat trend. A firm's moat trend is positive in cases where we think its sources of competitive advantage are growing stronger; stable where we don't anticipate changes to competitive advantages over the next several years; or negative when we see signs of deterioration.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of

capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in working-capital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total pres-

Morningstar Research Methodology for Valuing Companies



Research Methodology for Valuing Companies

ent value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty around that fair value estimate

Morningstar’s Uncertainty Rating captures a range of likely potential intrinsic values for a company and uses it to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating represents the analysts’ ability to bound the estimated value of the shares in a company around the Fair Value Estimate, based on the characteristics of the business underlying the stock, including operating and financial leverage, sales sensitivity to the overall economy, product concentration, pricing power, and other company-specific factors.

Analysts consider at least two scenarios in addition to their base case: a bull case and a bear case. Assumptions are chosen such that the analyst believes there is a 25% probability that the company will perform better than the bull case, and a 25% probability that the company will perform worse than the bear case. The distance between the bull and bear cases is an important indicator of the uncertainty underlying the fair value estimate.

Our recommended margin of safety widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the estimated value of the equity, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the uncertainty rating provides guidance in portfolio construction based on risk tolerance.

Our uncertainty ratings for our qualitative analysis are low, medium, high, very high, and extreme.

► **Low:** margin of safety for 5-star rating is a 20% discount and for 1-star rating is 25% premium.

- **Medium:** margin of safety for 5-star rating is a 30% discount and for 1-star rating is 35% premium.
- **High:** margin of safety for 5-star rating is a 40% discount and for 1-star rating is 55% premium.
- **Very High:** margin of safety for 5-star rating is a 50% discount and for 1-star rating is 75% premium.
- **Extreme:** Stock’s uncertainty exceeds the parameters we have set for assigning the appropriate margin of safety.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more detail information about our methodology, please go to <http://global.morningstar.com/equitydisclosures>

Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock’s current market price on a daily basis, and the star rating is automatically recalculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market’s valuation. When there are many 5-star stocks, the stock market as

a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time, generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

Five Stars ★★★★★

We believe appreciation beyond a fair risk-adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

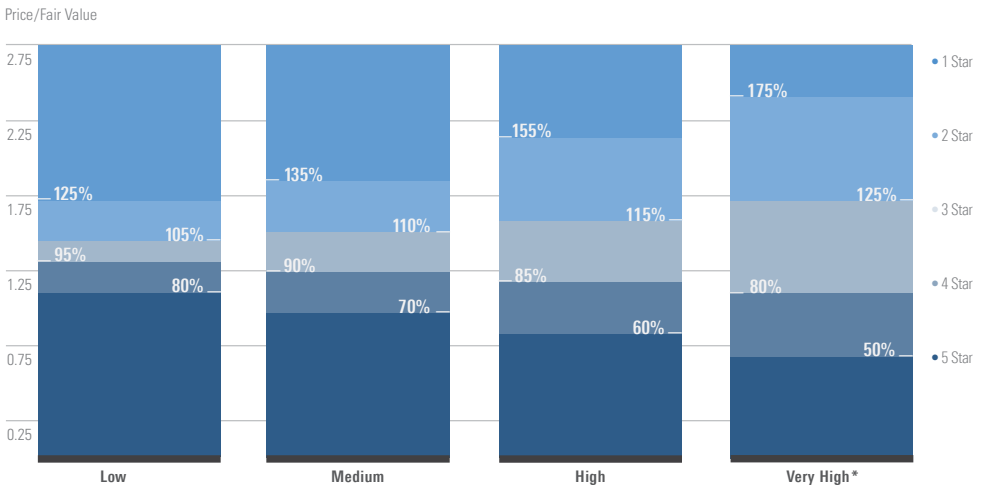
Four Stars ★★★★

We believe appreciation beyond a fair risk-adjusted return is likely.

Three Stars ★★★

Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

Morningstar Research Methodology for Valuing Companies



* Occasionally a stock’s uncertainty will be too high for us to estimate, in which case we label it Extreme.

Research Methodology for Valuing Companies

Two Stars ★★

We believe investors are likely to receive a less than fair risk-adjusted return.

One Star ★

Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions:

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Stewardship Rating: Represents our assessment of management's stewardship of shareholder capital, with particular emphasis on capital allocation decisions. Analysts consider companies' investment strategy and valuation, financial leverage, dividend and share buyback policies, execution, compensation, related party transactions, and accounting practices. Corporate governance practices are only considered if they've had a demonstrated impact on shareholder value. Analysts assign one of three ratings: "Exemplary," "Standard," and "Poor." Analysts judge stewardship from an equity holder's perspective. Ratings are determined on an absolute basis. Most companies will receive a Standard rating, and this is the default rating in the absence of evidence that managers have made exceptionally strong or poor capital allocation decisions.

Quantitative Valuation: Using the below terms, intended to denote the relationship between the security's Last Price and Morningstar's quantitative fair value estimate for that security.

- **Undervalued:** Last Price is below Morningstar's quantitative fair value estimate.
- **Fairly Valued:** Last Price is in line with Morningstar's quantitative fair value estimate.
- **Overvalued:** Last Price is above Morningstar's quantitative fair value estimate.

Risk Warning

Please note that investments in securities are subject to market and other risks and there is no assurance or guarantee that the intended investment objectives will be achieved. Past performance of a security may or may not be sustained in future and is no indication of future performance. A security investment return and an investor's principal value will fluctuate so that, when redeemed, an investor's shares may be worth more or less than their original cost. A security's current investment performance may be lower or higher than the investment performance noted within the report. Morningstar's Uncertainty Rating serves as a useful data point with respect to sensitivity analysis of the assumptions used in our determining a fair value price.

Quantitative Equity Reports Overview

The quantitative report on equities consists of data, statistics and quantitative equity ratings on equity securities. Morningstar, Inc.'s quantitative equity ratings are forward looking and are generated by a statistical model that is based on Morningstar Inc.'s analyst-driven equity ratings and quantitative statistics. Given the nature of the quantitative report and the quantitative ratings, there is no one analyst in which a given report is attributed to; however, Mr. Lee Davidson, Head of Quantitative Research for Morningstar, Inc., is responsible for overseeing the methodology that supports the quantitative equity ratings used in this report. As an employee of Morningstar, Inc., Mr. Davidson is guided by Morningstar, Inc.'s Code of Ethics and Personal Securities Trading Policy in carrying out his responsibilities.

Quantitative Equity Ratings

Morningstar's quantitative equity ratings consist of: (i) Quantitative Fair Value Estimate, (ii) Quantitative Star Rating, (iii) Quantitative Uncertainty, (iv) Quantitative Economic Moat, and (v) Quantitative Financial Health (collectively the "Quantitative Ratings").

The Quantitative Ratings are calculated daily and derived from the analyst-driven ratings of a company's peers as determined by statistical algorithms. Morningstar, Inc. ("Morningstar", "we", "our") calculates Quantitative Ratings for companies whether or not it already provides analyst ratings and qualitative coverage. In some cases, the Quantitative Ratings may differ from the analyst ratings because a company's analyst-driven ratings can significantly differ from other companies in its peer group.

Quantitative Fair Value Estimate: Intended to represent Morningstar's estimate of the per share dollar amount that a company's equity is worth today. Morningstar calculates the Quantitative Fair Value Estimate using a statistical model derived from the Fair Value Estimate Morningstar's equity analysts assign to companies. Please go to <http://global.morningstar.com/equitydisclosures> for information about Fair Value Estimate Morningstar's equity analysts assign to companies.

Quantitative Economic Moat: Intended to describe the strength of a firm's competitive position. It is calculated using an algorithm designed to predict the Economic Moat rating a Morningstar analyst would assign to the stock. The rating is expressed as Narrow, Wide, or None.

- **Narrow:** assigned when the probability of a stock receiving a "Wide Moat" rating by an analyst is greater than 70% but less than 99%.
- **Wide:** assigned when the probability of a stock receiving a "Wide Moat" rating by an analyst is greater than 99%.
- **None:** assigned when the probability of an analyst receiving a "Wide Moat" rating by an analyst is less than 70%.

Quantitative Star Rating: Intended to be the summary rating based on the combination of our Quantitative Fair Value Estimate, current market price, and the Quantitative Uncertainty Rating. The rating is expressed as One-Star, Two-Star, Three-Star, Four-Star, and Five-Star.

- **One-Star:** the stock is overvalued with a reasonable margin of safety.
 $\text{Log}(\text{Quant FVE/Price}) < -1 * \text{Quantitative Uncertainty}$
- **Two-Star:** the stock is somewhat overvalued.
 $\text{Log}(\text{Quant FVE/Price}) \text{ between } (-1 * \text{Quantitative Uncertainty}, -0.5 * \text{Quantitative Uncertainty})$
- **Three-Star:** the stock is approximately fairly valued.
 $\text{Log}(\text{Quant FVE/Price}) \text{ between } (-0.5 * \text{Quantitative Uncertainty}, 0.5 * \text{Quantitative Uncertainty})$
- **Four-Star:** the stock is somewhat undervalued.
 $\text{Log}(\text{Quant FVE/Price}) \text{ between } (0.5 * \text{Quantitative Uncertainty}, 1 * \text{Quantitative Uncertainty})$
- **Five-Star:** the stock is undervalued with a reasonable margin of safety.
 $\text{Log}(\text{Quant FVE/Price}) > 1 * \text{Quantitative Uncertainty}$

Quantitative Uncertainty: Intended to represent Morningstar's level of uncertainty about the accuracy of the Quantitative Fair Value Estimate. Generally, the lower the Quantitative Uncertainty, the narrower the potential range of outcomes for that particular company. The rat-

Research Methodology for Valuing Companies

ing is expressed as Low, Medium, High, Very High, and Extreme.

- **Low:** the interquartile range for possible fair values is less than 10%.
- **Medium:** the interquartile range for possible fair values is less than 15% but greater than 10%.
- **High:** the interquartile range for possible fair values is less than 35% but greater than 15%.
- **Very High:** the interquartile range for possible fair values is less than 80% but greater than 35%.
- **Extreme:** the interquartile range for possible fair values is greater than 80%.

Quantitative Financial Health: Intended to reflect the probability that a firm will face financial distress in the near future. The calculation uses a predictive model designed to anticipate when a company may default on its financial obligations. The rating is expressed as Weak, Moderate, and Strong.

- **Weak:** assigned when Quantitative Financial Health < 0.2
- **Moderate:** assigned when Quantitative Financial Health is between 0.2 and 0.7
- **Strong:** assigned when Quantitative Financial Health > 0.7

Other Definitions:

Last Close: Price of the stock as of the close of the market of the last trading day before date of the report.

Quantitative Valuation: Using the below terms, intended to denote the relationship between the security's Last Price and Morningstar's quantitative fair value estimate for that security.

- **Undervalued:** Last Price is below Morningstar's quantitative fair value estimate.
- **Fairly Valued:** Last Price is in line with Morningstar's quantitative fair value estimate.
- **Overvalued:** Last Price is above Morningstar's quantitative fair value estimate.

This Report has not been made available to the issuer of the security prior to publication.

Risk Warning

Please note that investments in securities are subject to market and other risks and there is no assurance or guarantee that the intended investment objectives will be achieved. Past performance of a security may or may not be sustained in future and is no indication of future performance. A security investment return and an investor's principal value will fluctuate so that, when redeemed, an investor's shares may be worth more or less than their original cost. A security's current investment performance may be lower or higher than the investment performance noted within the report.

The quantitative equity ratings are not statements of fact. Morningstar does not guarantee the completeness or accuracy of the assumptions or models used in determining the quantitative equity ratings. In addition, there is the risk that the price target will not be met due to such things as unforeseen changes in demand for the company's products, changes in management, technology, economic development, interest rate development, operating and/or material costs, competitive pressure, supervisory law, exchange rate, and tax rate. For investments in foreign markets there are further risks, generally based on exchange rate changes or changes in political and social conditions. A change in the fundamental factors underlying the quantitative equity ratings can mean that the valuation is subsequently no longer accurate.

For more information about Morningstar's quantitative methodology, please visit www.corporate.morningstar.com.

Amazon.com Inc AMZN (XNAS)

Morningstar Rating	Last Price	Fair Value Estimate	Price/Fair Value	Trailing Dividend Yield %	Forward Dividend Yield %	Market Cap (Bil)	Industry	Stewardship
★★★	1,689.12 USD	1900.00 USD	0.89	—	0.00	819.61	Specialty Retail	Exemplary
11 Jun 2018 21:35, UTC	11 Jun 2018	27 Apr 2018 20:35, UTC		11 Jun 2018	11 Jun 2018	11 Jun 2018		

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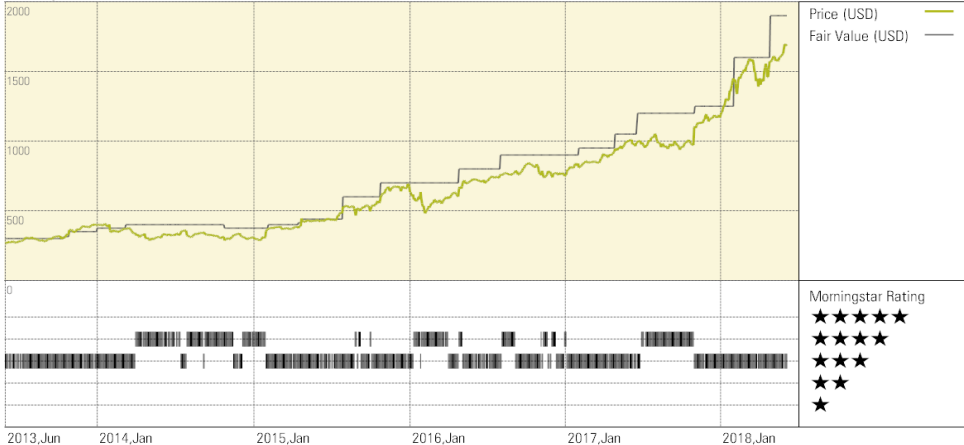
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Price/Fair Value

Morningstar data as of Jun 11, 2018



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Amazon.com Inc AMZN (XNAS)

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investment decision and when deemed necessary, to seek the advice of a legal, tax, and/or accounting professional.

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- No interests are held by the analyst with respect to the security subject of this investment research report. – Morningstar, Inc. may hold a long position in the security subject of this investment research report that exceeds 0.5% of the total issued share capital of the security. To determine if such is the case, please click <http://msi.morningstar.com> and <http://mdi.morningstar.com>.

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- Neither Morningstar, Inc. or the Equity Research Group is a market maker or a liquidity provider of the security noted within this report.

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11 Jun 2018 21:35, UTC	11 Jun 2018	27 Apr 2018 20:35, UTC		11 Jun 2018	11 Jun 2018	11 Jun 2018		

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